

19PSCV00317 19PSCV00317

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Tentative Ruling

MOTION TO SET ASIDE VOID JUDGMENT is GRANTED;
the judgment is void as Plaintiff failed to request this court retain
jurisdiction prior to the dismissal.

Background

This

is a contracts case. Plaintiff Chia Hong Shoes Co. Ltd., a Chinese company, alleges the following against Defendants ISHOESTER CORP., a dissolved California corporation; ROXANNE HSU, an individual; ANDREW HSU, an individual; EMILY HSU, an individual; JEROME WEI, an individual; ELTON HSU, an individual: Plaintiff manufactures private label shoes and sold the shoes to Popits USA, Inc.; Plaintiff used Ishoester as an intermediary to sell the shoes. While Popits paid Ishoester, Ishoester failed to pay Plaintiff for products delivered to Popits USA, Inc. (Roxanne and Andrew are the shareholders, promoters, officers, and founders of Ishoester; Elton is their son; Emily is their daughter; and Jeremone is their son-inlaw. As for the allegations as to the non-founders, they stem in receiving monies/real property from Roxanne and Andrew.)

On March 17, 2020, Plaintiff filed a
dismissal of the entire action without prejudice.

On

February 3, 2026, the court held a hearing on a motion to reopen the case. The
premise of the motion was that on or about March 3, 2020, Plaintiff and

Defendants entered into a Settlement and Tolling Agreement ("Settlement Agreement"), pursuant to which Defendants shall pay Plaintiff, jointly and severally, \$400,000, by December 31, 2023, with installments of \$100,000 each year, for four years. However, the Defendants are in default with an outstanding balance of \$230,694.55. Pursuant to the parties' settlement agreement which contains a 664.6 provision, Plaintiff argued that the court has jurisdiction over this case for the purpose of enforcing the Settlement Agreement. The court issued a verbal tentative ruling and thereafter granted the request.

On March

26, 2026, judgment was entered stating, in part, that "Judgment is entered in favor of Plaintiff CHIAO HONG SHOES CO. LTD and against Defendants ISHOESTER CORP., ROXANNE HSU, ANDREW HSU, EMILY HSU, JEROME WEI, and ELTON HSU, jointly and severally, in the amount of \$230,694.55, as specified in the settlement agreement" and that reasonable attorney fees, costs, and pre-and post-judgment are to be paid.

On

July 24, 2026, a motion to set aside the judgment was filed.

On

August 14, 2026, an opposition was filed.

On

August 17, 2026, a reply was filed.

Discussion

Defendants

Jerome Wei and Emily Hsu file this motion based upon the provisions of California Code of Civil Procedure § 473(d) on the grounds that (1) the court lacked jurisdiction to enter Judgment; (2) the Judgment is void because it exceeds the scope of settlement; and (3) the motion pursuant to which judgment was entered and the judgment itself were not served on Jerome Wei or Emily Hsu and neither had notice of the motion or judgment. (In the alternative, they make the motion pursuant to 473(b).)

Here,

after a review of the docket and the parties' arguments and authority, the

motion can readily be adjudicated based upon the first issue: whether the court lacked jurisdiction to enter judgment on March 26, 2026 when the case was dismissed by Plaintiff on March 17, 2020 without apprising this court of its desire that it retain jurisdiction of the case notwithstanding dismissal. The answer is an unequivocal yes and readily answered by the plain language of CCP section 664.6 and cases addressing the statute.

This preliminary doctrinal recitation sets the stage for the principal issue of this motion. “[V]oluntary dismissal of an action or special proceeding terminates the court's jurisdiction over the matter.”

(Mesa RHF Partners, L.P. v. City of Los Angeles (2019) 33 Cal.App.5th 913, 917.) However, section 664.6 “provides a summary procedure to enforce a settlement agreement by entering judgment pursuant to the terms of the settlement. [Citation.] Section 664.6 states that if the parties to pending litigation enter into a settlement either in a writing signed by the parties or orally before the court, the court, upon a motion, may enter judgment pursuant to the terms of the settlement. The court retains jurisdiction to enforce a settlement under the statute even after a dismissal, but only if the parties requested such a retention of jurisdiction before the dismissal.” (Hines v. Lukes (2008) 167 Cal.App.4th 1174, 1182, fn. omitted (Hines).) The “request must be express, not implied from other language, and it must be clear and unambiguous.” (Mesa, supra, 33 Cal.App.5th at p. 917.)

Here, the way to apprise a trial court of such a request to retain jurisdiction if not made orally is generally made by way of the dismissal (filed on a CIV-110 form) stating something to the effect that the dismissal be with the explicit reservation of jurisdiction under section 664.6 and attaching a copy of the parties' settlement agreement. (See e.g., (Mesa, supra, 33 Cal.App.5th at p. 918 [trial court did not retain jurisdiction to enforce settlements because “settlement agreements were not attached to the ... requests for dismissal or otherwise transmitted to the trial court before the cases were dismissed”]; Sayta v. Chu (2017) 17 Cal.App.5th 960, 967 [court did not retain jurisdiction where no request was made and settlement providing for retained jurisdiction was not provided to the court before dismissal].) (Mesa was cited by moving Defendants but not addressed in opposition.))[1]

If

anything, the opposition seems to tacitly concede the settlement was not provided to the court by arguing that the settlement agreement was signed on March 9, 2020, and the request for dismissal was filed on March 17, 2020, days after the settlement agreement was signed. But the statute does not read, for example, That the court retains jurisdiction so long as the request is written in a settlement agreement that can be filed after dismissal. No. The statute states that "If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (emphasis added.) The statute does not read that The parties to a dismissed case may stipulate that the court retain jurisdiction. To the extent that Plaintiff argues "There is never a single requirement that the request must only be made before the court," this court cannot and will not rewrite a clear statute.

In sum, as correctly argued by moving Defendants, the Settlement Agreement allowing the court to retain jurisdiction is not enough for this court to actually retain jurisdiction because the request was never made to the court itself before dismissal. Accordingly, since the the court did retain jurisdiction over the parties pursuant to the settlement agreement, the judgment is void because the court does not have subject matter jurisdiction and that is shown on the face of the record without the need to consider extrinsic evidence. (See e.g., Hagan Engineering Inc. v. Mills (2003) 115 Cal.App.4th 1004, 1008 ["The settlement language purporting to vest the trial court with retained jurisdiction after the dismissal was a nullity: Subject matter jurisdiction cannot be conferred by consent, waiver or estoppel."].)

With that, the court need not address the other arguments.

Conclusion

Based on the foregoing, the motion is GRANTED.

[1] Since Mesa, the Legislature amended section 664.6. (Stats. 2020, ch. 290, § 1.) That amendment was designed to overturn Levy's holding that the litigants themselves must sign (or orally stipulate to) a section 664.6 settlement for it to be effective.